

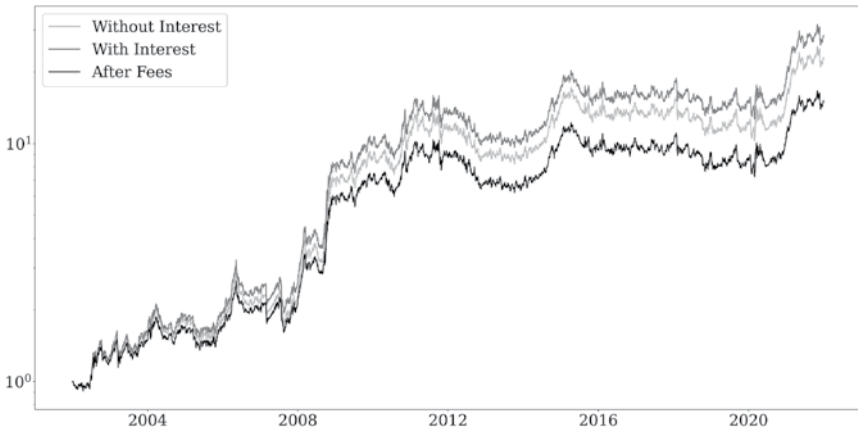


FIGURE 4.12 Effect of fees.

A word of advice for start-up futures managers. It's very easy to make the mistake of budgeting with a performance fee, and having unrealistic expectations of big bucks rolling in fast. If that happens, and it can, that's brilliant and more power to you. But you should always budget with zero performance. You, and your futures management business, must be able to survive on just the management fees. If not, you will be wiped out by a single bad year.